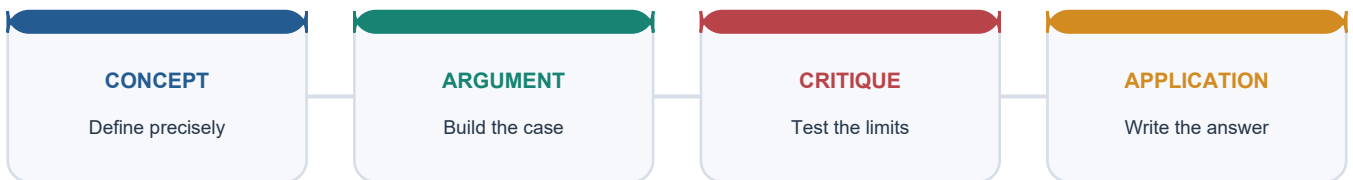


SOLVED PRACTICE WORKBOOK

Industrial Policy, 1991 Reforms, PSUs and Disinvestment - Solved Practice Workbook

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / WORKBOOK INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

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Industrial Policy, 1991 Reforms, PSUs and Disinvestment - Solved Practice Workbook

Exactly 32 original questions appear before PYQs. Correct answers rotate A -> B -> C -> D eight times.

BASIC MCQS / REMEDIATION

MCQ 1

Industrial policy is best understood as:

A. State rules and interventions shaping industrial entry, structure, technology, location and capability. B. Only customs tariffs. C. Only public ownership. D. Only production-linked incentives.

Answer: A.

Option-wise explanation:

- **A - Correct:** The concept includes regulatory and capability instruments. The option states: State rules and interventions shaping industrial entry, structure, technology, location and capability.
- **B - Incorrect:** Tariffs are one possible instrument. The option states: Only customs tariffs.
- **C - Incorrect:** Ownership is one dimension. The option states: Only public ownership.
- **D - Incorrect:** PLI is a modern subset. The option states: Only production-linked incentives.

Examiner trap 1: Industrial policy is wider than subsidy.

MCQ 2

The Industrial Policy Resolution of 1948 established:

A. Complete abolition of private industry. B. A mixed-economy framework with strategic State domains and regulated private activity. C. The Competition Commission of India. D. The 1991 automatic FDI route.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Private enterprise continued. The option states: Complete abolition of private industry.
- **B - Correct:** The resolution allocated roles between State and private enterprise. The option states: A mixed-economy framework with strategic State domains and regulated private activity.
- **C - Incorrect:** CCI came under later competition law. The option states: The Competition Commission of India.
- **D - Incorrect:** Automatic FDI was a later reform. The option states: The 1991 automatic FDI route.

Examiner trap 2: Mixed economy is not total nationalisation.

MCQ 3

Under the 1956 Resolution, Schedule A broadly covered:

A. Only cottage industries. B. All foreign companies. C. Industries under exclusive State responsibility. D. Only export-processing zones.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Cottage industry was not its defining category. The option states: Only cottage industries.
- **B - Incorrect:** Ownership nationality was not the schedule test. The option states: All foreign companies.
- **C - Correct:** Schedule A represented commanding-height State responsibility. The option states: Industries under exclusive State responsibility.
- **D - Incorrect:** EPZs are a different instrument. The option states: Only export-processing zones.

Examiner trap 3: Schedule B and C had different roles.

MCQ 4

The IDR Act, 1951 primarily enabled:

A. GST collection. B. Bank deposit insurance. C. Environmental impact assessment alone. D. Central regulation and industrial licensing of scheduled industries.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** GST is a later tax system. The option states: GST collection.
- **B - Incorrect:** DICGC handles deposit insurance. The option states: Bank deposit insurance.
- **C - Incorrect:** Environmental law is distinct. The option states: Environmental impact assessment alone.
- **D - Correct:** It supplied the licensing framework. The option states: Central regulation and industrial licensing of scheduled industries.

Examiner trap 4: Delicensing did not repeal every provision.

MCQ 5

Import substitution seeks to:

A. Develop domestic production of goods previously imported. B. Eliminate all exports. C. Privatisise every CPSE. D. Abolish standards.

Answer: A.

Option-wise explanation:

- **A - Correct:** It uses domestic capacity to reduce import dependence. The option states: Develop domestic production of goods previously imported.
- **B - Incorrect:** Exports can coexist. The option states: Eliminate all exports.
- **C - Incorrect:** Ownership is separate. The option states: Privatisise every CPSE.
- **D - Incorrect:** Standards may support capability. The option states: Abolish standards.

Examiner trap 5: Self-reliance is not autarky.

MCQ 6

The MRTP Act's pre-1991 approach emphasised:

A. Only environmental pollution. B. Concentration and prior scrutiny linked to large-company asset thresholds. C. Only labour disputes. D. Only foreign-exchange transactions.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Pollution has separate laws. The option states: Only environmental pollution.
- **B - Correct:** The regime used size-linked pre-entry controls. The option states: Concentration and prior scrutiny linked to large-company asset thresholds.
- **C - Incorrect:** Industrial relations are distinct. The option states: Only labour disputes.
- **D - Incorrect:** FERA addressed foreign exchange. The option states: Only foreign-exchange transactions.

Examiner trap 6: MRTP was not repealed in 1991.

MCQ 7

FERA, 1973 reflected:

A. A free capital-account regime. B. A competition-merger code. C. Strict conservation and control of scarce foreign exchange. D. A public-enterprise rating system.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Capital flows were controlled. The option states: A free capital-account regime.
- **B - Incorrect:** Competition law has another purpose. The option states: A competition-merger code.
- **C - Correct:** FERA governed foreign-exchange transactions restrictively. The option states: Strict conservation and control of scarce foreign exchange.
- **D - Incorrect:** Ratna status is DPE policy. The option states: A public-enterprise rating system.

Examiner trap 7: FERA was later replaced by FEMA.

MCQ 8

The 1977 industrial-policy emphasis was:

A. Universal strategic disinvestment. B. Automatic 100 per cent FDI. C. Abolition of District Industries Centres. D. Small, tiny and cottage industry with decentralised development.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Strategic disinvestment is much later. The option states: Universal strategic disinvestment.
- **B - Incorrect:** FDI rules were restrictive then. The option states: Automatic 100 per cent FDI.
- **C - Incorrect:** DICs were promoted. The option states: Abolition of District Industries Centres.
- **D - Correct:** Employment and decentralisation were central. The option states: Small, tiny and cottage industry with decentralised development.

Examiner trap 8: 1977 was not systemic liberalisation.

MCQ 9

The 1991 crisis response combined:

A. Macroeconomic stabilisation and structural reform. B. Only industrial nationalisation. C. Only a tobacco-licensing change. D. Only public-sector wage revision.

Answer: A.

Option-wise explanation:

- **A - Correct:** Short-run balance and long-run incentives were both addressed. The option states: Macroeconomic stabilisation and structural reform.
- **B - Incorrect:** Ownership moved in the opposite broad direction. The option states: Only industrial nationalisation.
- **C - Incorrect:** The package was economy-wide. The option states: Only a tobacco-licensing change.
- **D - Incorrect:** Wage revision was not the central response. The option states: Only public-sector wage revision.

Examiner trap 9: Stabilisation differs from structural reform.

MCQ 10

A core NIP 1991 pillar was:

A. Reservation of all industry for CPSEs. B. Industrial delicensing for most industries. C. Reinstatement of MRTTP asset thresholds. D. Prohibition of foreign technology.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Public reservation was reduced. The option states: Reservation of all industry for CPSEs.
- **B - Correct:** Most prior industrial licences were removed. The option states: Industrial delicensing for most industries.
- **C - Incorrect:** Pre-entry MRTTP controls were relaxed. The option states: Reinstatement of MRTTP asset thresholds.
- **D - Incorrect:** Technology agreements were liberalised. The option states: Prohibition of foreign technology.

Examiner trap 10: Other approvals still apply.

MCQ 11

DPIIT's current compulsory-licensing list includes:

A. Textiles generally. B. Software services generally. C. Electronic aerospace and defence equipment. D. Food processing generally.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Textiles are generally delicensed. The option states: Textiles generally.
- **B - Incorrect:** Software does not require general industrial licensing. The option states: Software services generally.
- **C - Correct:** Defence-related equipment remains a licensed category. The option states: Electronic aerospace and defence equipment.
- **D - Incorrect:** Food processing is generally delicensed. The option states: Food processing generally.

Examiner trap 11: Use the current four-category list.

MCQ 12

Which is also on the current licensing list?

A. All automobiles. B. All pharmaceuticals. C. All renewable energy. D. Industrial explosives.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Automobiles are generally delicensed. The option states: All automobiles.
- **B - Incorrect:** Pharmaceuticals have sector rules but not this general category. The option states: All pharmaceuticals.
- **C - Incorrect:** Renewables are not generally licensed under IDR. The option states: All renewable energy.
- **D - Correct:** Explosives present major safety and security risks. The option states: Industrial explosives.

Examiner trap 12: Licensing is targeted, not economy-wide.

MCQ 13

The current specified hazardous-chemical category includes:

A. Hydrocyanic acid, phosgene and specified isocyanates. B. All household detergents. C. All fertilisers. D. Every petroleum product.

Answer: A.

Option-wise explanation:

- **A - Correct:** The official list names limited hazardous chemicals. The option states: Hydrocyanic acid, phosgene and specified isocyanates.
- **B - Incorrect:** The category is not all chemicals. The option states: All household detergents.
- **C - Incorrect:** Fertilisers have other controls. The option states: All fertilisers.
- **D - Incorrect:** Petroleum products are not all included. The option states: Every petroleum product.

Examiner trap 13: Do not broaden a specified list.

MCQ 14

Current public-sector reservation identifies:

A. All telecommunications and banking. B. Atomic Energy and core Railway operations, subject to notified exceptions. C. All mining and petroleum. D. All aviation and shipping.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** These sectors permit wider participation subject to policy. The option states: All telecommunications and banking.
- **B - Correct:** DPIIT's status note retains these strategic areas while policy permits specified railway infrastructure and mass-transit participation. The option states: Atomic Energy and core Railway operations, subject to notified exceptions.
- **C - Incorrect:** They are not blanket reserved. The option states: All mining and petroleum.
- **D - Incorrect:** Private participation exists. The option states: All aviation and shipping.

Examiner trap 14: Reserved core differs from notified exceptions and contracts.

MCQ 15

Liberalisation differs from privatisation because liberalisation:

A. Always transfers management control. B. Always sells government equity. C. Reduces controls without necessarily changing ownership. D. Always closes an enterprise.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Control transfer defines privatisation routes. The option states: Always transfers management control.
- **B - Incorrect:** Equity sale is disinvestment. The option states: Always sells government equity.
- **C - Correct:** Ownership can remain public after controls are relaxed. The option states: Reduces controls without necessarily changing ownership.
- **D - Incorrect:** Closure is an exit route. The option states: Always closes an enterprise.

Examiner trap 15: A public firm can be liberalised.

MCQ 16

Globalisation refers primarily to:

A. Only domestic delicensing. B. Only a CPSE buyback. C. Only district industrial centres. D. Deeper cross-border integration of trade, investment, technology and production.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Delicensing is liberalisation. The option states: Only domestic delicensing.
- **B - Incorrect:** Buyback is capital management. The option states: Only a CPSE buyback.
- **C - Incorrect:** DICs are local support institutions. The option states: Only district industrial centres.
- **D - Correct:** It concerns international integration. The option states: Deeper cross-border integration of trade, investment, technology and production.

Examiner trap 16: LPG terms are not synonyms.

MCQ 17

A government company is defined through:

A. Government holding of at least 51 per cent of paid-up share capital under company law. B. Any company receiving a subsidy. C. Any listed company. D. Only a statutory corporation.

Answer: A.

Option-wise explanation:

- **A - Correct:** Ownership threshold and company form are relevant. The option states: Government holding of at least 51 per cent of paid-up share capital under company law.
- **B - Incorrect:** Subsidy does not create government ownership. The option states: Any company receiving a subsidy.
- **C - Incorrect:** Listing is separate. The option states: Any listed company.
- **D - Incorrect:** Statutory corporations arise from statutes. The option states: Only a statutory corporation.

Examiner trap 17: Government company differs from department.

MCQ 18

A soft budget constraint exists when:

A. A firm earns a profit. B. An enterprise expects repeated rescue rather than credible restructuring or exit. C. A company faces competition. D. A board receives autonomy.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Profit does not imply softness. The option states: A firm earns a profit.
- **B - Correct:** Expected bailout weakens discipline. The option states: An enterprise expects repeated rescue rather than credible restructuring or exit.
- **C - Incorrect:** Competition can harden constraints. The option states: A company faces competition.
- **D - Incorrect:** Autonomy is not rescue. The option states: A board receives autonomy.

Examiner trap 18: Public ownership alone is insufficient proof.

MCQ 19

Maharatna eligibility requires:

A. Only one profitable quarter. B. Only a ministry nomination. C. Prior Navratna status and cumulative listing, scale, profitability and global-presence tests. D. Only positive net worth.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Three-year averages are used. The option states: Only one profitable quarter.
- **B - Incorrect:** Nomination cannot replace criteria. The option states: Only a ministry nomination.
- **C - Correct:** The category uses multiple cumulative criteria. The option states: Prior Navratna status and cumulative listing, scale, profitability and global-presence tests.
- **D - Incorrect:** Positive net worth alone is insufficient. The option states: Only positive net worth.

Examiner trap 19: Remember listing and Navratna prerequisites.

MCQ 20

The Maharatna three-year average turnover threshold is:

A. Above Rs 30 crore. B. Exactly Rs 5,000 crore. C. No turnover criterion exists. D. Above Rs 25,000 crore.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Rs 30 crore belongs to Miniratna-I PBT. The option states: Above Rs 30 crore.
- **B - Incorrect:** Rs 5,000 crore is the PAT threshold. The option states: Exactly Rs 5,000 crore.
- **C - Incorrect:** Turnover is explicitly tested. The option states: No turnover criterion exists.
- **D - Correct:** DPE's current criterion uses this scale threshold. The option states: Above Rs 25,000 crore.

Examiner trap 20: Thresholds are cumulative.

MCQ 21

Navratna eligibility includes:

A. Schedule A, Miniratna-I status and a composite performance score of at least 60. B. Maharatna status first. C. Three years of losses. D. No performance evaluation.

Answer: A.

Option-wise explanation:

- **A - Correct:** These are core prerequisites under current DPE material. The option states: Schedule A, Miniratna-I status and a composite performance score of at least 60.
- **B - Incorrect:** Maharatna is higher. The option states: Maharatna status first.
- **C - Incorrect:** Profitability is required. The option states: Three years of losses.
- **D - Incorrect:** Performance is central. The option states: No performance evaluation.

Examiner trap 21: A profitable CPSE is not automatically Navratna.

MCQ 22

Miniratna Category-I requires:

A. Only one profitable year. B. Profit in three consecutive years, positive net worth and pre-tax profit of at least Rs 30 crore in one. C. Stock-exchange listing. D. Global operations.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** One profitable year is insufficient. The option states: Only one profitable year.

- **B - Correct:** The category combines sustained profit, positive net worth and a one-year PBT threshold. The option states: Profit in three consecutive years, positive net worth and pre-tax profit of at least Rs 30 crore in one.
- **C - Incorrect:** Listing is not the entry test. The option states: Stock-exchange listing.
- **D - Incorrect:** Global presence is a Maharatna test. The option states: Global operations.

Examiner trap 22: Do not omit positive net worth or swap the categories.

MCQ 23

Disinvestment means:

A. Always closure. B. Always transfer of management control. C. Sale of part or all of government's equity. D. Leasing an asset without equity sale.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Closure may occur without sale. The option states: Always closure.
- **B - Incorrect:** Minority sales retain control. The option states: Always transfer of management control.
- **C - Correct:** The definition concerns government shareholding. The option states: Sale of part or all of government's equity.
- **D - Incorrect:** Leasing is monetisation. The option states: Leasing an asset without equity sale.

Examiner trap 23: Disinvestment is not always privatisation.

MCQ 24

An OFS usually represents:

A. A concession of a highway. B. Liquidation under IBC. C. A new industrial licence. D. A market sale of shares without transfer of management control.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** That is asset monetisation. The option states: A concession of a highway.
- **B - Incorrect:** IBC liquidation is exit. The option states: Liquidation under IBC.
- **C - Incorrect:** Licensing is regulation. The option states: A new industrial licence.
- **D - Correct:** Offer for Sale is a minority-sale route. The option states: A market sale of shares without transfer of management control.

Examiner trap 24: Control is the key distinction.

MCQ 25

A CPSE ETF:

A. Pools stakes in multiple CPSEs into tradable fund units. B. Creates a new ministry. C. Transfers every CPSE's management. D. Is identical to a statutory corporation.

Answer: A.

Option-wise explanation:

- **A - Correct:** ETF offers a diversified basket. The option states: Pools stakes in multiple CPSEs into tradable fund units.
- **B - Incorrect:** It is a financial product, not department. The option states: Creates a new ministry.
- **C - Incorrect:** Control generally remains. The option states: Transfers every CPSE's management.
- **D - Incorrect:** Legal form differs. The option states: Is identical to a statutory corporation.

Examiner trap 25: Basket security is not holding company.

MCQ 26

Strategic disinvestment requires:

A. Only a small market float. B. Substantial or entire equity sale with transfer of management control. C. Only an asset lease. D. Only dividend payment.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Minority float lacks control transfer. The option states: Only a small market float.
- **B - Correct:** DIPAM's definition combines sale and control. The option states: Substantial or entire equity sale with transfer of management control.
- **C - Incorrect:** Lease is monetisation. The option states: Only an asset lease.
- **D - Incorrect:** Dividend is income distribution. The option states: Only dividend payment.

Examiner trap 26: Privatisation requires a private buyer.

MCQ 27

The New PSE Policy was notified on:

A. 24 July 1991. B. 1 April 1977. C. 4 February 2021. D. 31 March 2026.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** That is the NIP date. The option states: 24 July 1991.
- **B - Incorrect:** The 1977 policy belongs earlier. The option states: 1 April 1977.
- **C - Correct:** This is the official notification date. The option states: 4 February 2021.
- **D - Incorrect:** This is not the notification date. The option states: 31 March 2026.

Examiner trap 27: Policy date is not completion date.

MCQ 28

Which is one of the four strategic groups?

A. All consumer retail. B. All food processing. C. All tourism services. D. Banking, Insurance and Financial Services.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** These are not named broad groups. The option states: All consumer retail.
- **B - Incorrect:** Food processing is not one. The option states: All food processing.
- **C - Incorrect:** Tourism is not one. The option states: All tourism services.
- **D - Correct:** Financial services form a named strategic group. The option states: Banking, Insurance and Financial Services.

Examiner trap 28: Memorise the four groups.

MCQ 29

Asset monetisation differs from disinvestment because it can:

A. Transfer time-bound operating or revenue rights while public ownership remains. B. Always sell CPSE equity. C. Always transfer permanent ownership. D. Never affect user charges.

Answer: A.

Option-wise explanation:

- **A - Correct:** The object is an asset right rather than necessarily equity. The option states: Transfer time-bound operating or revenue rights while public ownership remains.

- **B - Incorrect:** That is disinvestment. The option states: Always sell CPSE equity.
- **C - Incorrect:** Many structures are time-bound. The option states: Always transfer permanent ownership.
- **D - Incorrect:** Contract design can affect charges. The option states: Never affect user charges.

Examiner trap 29: Ownership and control must be traced.

MCQ 30

CCI's core Competition Act functions cover:

A. Industrial licensing and tax collection. B. Anti-competitive agreements, abuse of dominance and combinations. C. Railway operations and atomic energy. D. CPSE Ratna classification.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** DPIIT/tax authorities differ. The option states: Industrial licensing and tax collection.
- **B - Correct:** These are the three central competition domains. The option states: Anti-competitive agreements, abuse of dominance and combinations.
- **C - Incorrect:** Those are strategic activities. The option states: Railway operations and atomic energy.
- **D - Incorrect:** DPE handles Ratna policy. The option states: CPSE Ratna classification.

Examiner trap 30: Dominance itself is not prohibited.

MCQ 31

IBC is relevant to industrial reform because it provides:

A. A disinvestment target. B. An industrial-licence list. C. A framework for corporate resolution and liquidation. D. A Ratna score.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Budget policy sets targets. The option states: A disinvestment target.
- **B - Incorrect:** DPIIT handles licensing. The option states: An industrial-licence list.
- **C - Correct:** Credible exit complements easier entry. The option states: A framework for corporate resolution and liquidation.
- **D - Incorrect:** DPE handles Ratna status. The option states: A Ratna score.

Examiner trap 31: CPSE closure is not always IBC.

MCQ 32

The 2026-27 Rs 80,000 crore figure is:

A. DIPAM's FY2025-26 actual receipt. B. Maharatna turnover threshold. C. The 1991 FDI cap. D. Budget Estimate for combined miscellaneous capital receipts, not a pure disinvestment target.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** The portal actual is different. The option states: DIPAM's FY2025-26 actual receipt.
- **B - Incorrect:** Maharatna uses Rs 25,000 crore turnover. The option states: Maharatna turnover threshold.
- **C - Incorrect:** Historical FDI used percentages. The option states: The 1991 FDI cap.
- **D - Correct:** The Receipt Budget groups disinvestment and specified monetisation receipts. The option states: Budget Estimate for combined miscellaneous capital receipts, not a pure disinvestment target.

Examiner trap 32: State the budget head and vintage.

PYQS AND ANSWER PRACTICE

OBJECTIVE PYQ ROUTING - OFFICIAL-KEY DISCIPLINE

Year / paper	Routed demand	Key discipline
2019 Prelims GS-I Q70	Five-Year Plans' industrial and financial-sector thrust	Answer withheld pending official UPSC key.
2022 Prelims GS-I Q72	Coal Controller's Organisation statutory role and functions	Answer withheld pending official UPSC key.
2024 Prelims GS-I Q50	Corporate Social Responsibility rules in India	Official key exists locally; answer withheld until exact set and option mapping is verified.

ORIGINAL MAINS PRACTICE WITH MODEL SOLUTIONS

ORIGINAL MAINS 1 - 10 MARKS

Question: Why did the 1991 industrial reforms not mean the end of the State? Answer in 150 words.

Model answer:

The New Industrial Policy of 24 July 1991 removed most industrial licensing, reduced public-sector reservation, relaxed MRTP pre-entry controls and widened foreign-investment and technology routes. Allocation shifted from administrative permission toward firms and markets.

The State's role changed rather than disappeared. Delicensed firms still require safety, environmental, land and sector approvals. Competitive markets need CCI oversight of agreements, abuse and combinations. Government provides infrastructure, skills, finance, standards and strategic capabilities and retains enterprises for sovereign, network or developmental reasons.

The 2021 PSE Policy seeks bare-minimum public commercial presence in strategic sectors, not withdrawal from regulation or public goods.

Thus 1991 replaced pervasive entry control with rule-based regulation and capability building. Effective markets still depend on capable public institutions. State capacity and accountability remain the test.

Native-body word count: 140 / 150.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 2 - 10 MARKS

Question: Distinguish disinvestment, strategic sale, privatisation and asset monetisation. Answer in 150 words.

Model answer:

Disinvestment is sale of part or all of government's equity. A minority IPO or Offer for Sale reduces shareholding but leaves management control with government.

Strategic disinvestment adds management-control transfer to a substantial or entire sale. If control passes to a private buyer, it is privatisation. Air India's January 2022 transfer to Talace illustrates this route. Transfer to another CPSE can be strategic disinvestment without privatisation.

Asset monetisation transfers operating or revenue rights, often temporarily, while public ownership may remain. It is not necessarily an equity sale. ETF and buyback are minority or capital-management routes.

Trace the object, duration, buyer, equity and control. Valuation and accountability therefore differ across routes. Receipts are one-off capital receipts, not proof of recurring fiscal or enterprise improvement.

Native-body word count: 138 / 150.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 3 - 15 MARKS

Question: Evaluate the achievements and limitations of India's 1991 industrial reforms. Answer in 250 words.

Model answer:

The 1991 reforms responded to a balance-of-payments crisis but went beyond emergency stabilisation. The New Industrial Policy dismantled most industrial licensing, reduced public-sector reservation, removed MRTP pre-entry restrictions and liberalised foreign investment and technology agreements. Trade, exchange-rate, financial and tax reforms complemented these changes.

Delicensing improved entry and expansion incentives. Import and domestic competition pressured firms to modernise, while foreign capital and technology widened production choices. Efficient enterprises gained scale, consumers obtained greater variety and industrial allocation became less dependent on administrative discretion. The reforms also enabled deeper global-value-chain participation.

Yet outcomes were uneven. Infrastructure, power, finance, skills and contract enforcement limited the response of many firms. Competitive restructuring displaced protected workers and increased skill premiums. Investment concentrated in regions with established cities, suppliers and logistics. Foreign investment did not automatically create domestic R&D or value addition. Weak competition or sector regulation could replace public monopoly with private market power.

The reforms also left unfinished factor-market and State-capacity agendas. Land, logistics, urban governance, judicial delay, regulatory overlap and small-firm capability remain binding.

Therefore 1991 should be judged as a transition from administrative allocation to market competition, not as a completed reform event. Second-generation reforms must combine infrastructure, skills, competition, social protection and capable regulation. Current industrial-policy resurgence should build measurable strategic capability without restoring open-ended protection or discretionary licensing.

Native-body word count: 235 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 4 - 15 MARKS

Question: Assess the rationale and governance challenges of CPSEs. Answer in 250 words.

Model answer:

Central Public Sector Enterprises can address long-gestation investment, strategic security, natural-monopoly features, universal service, regional development and missing private capability. Post-Independence CPSEs built heavy industry, energy, infrastructure and finance where domestic capital and technology were limited.

Ownership alone, however, does not establish public value. Commercial firms need profitability, capital efficiency, innovation and customer discipline. Strategic or social mandates should be explicit, costed and separately monitored; otherwise losses can be defended as public service and managerial inefficiency becomes invisible. Repeated rescue may create a soft budget constraint, weakening investment and exit discipline.

Governance is complicated by multiple principals. Administrative ministries articulate policy, DPE frames enterprise policy, DIPAM handles investment and asset transactions, boards manage companies, and CAG, Parliament, Companies Act, SEBI or sector regulators provide specified oversight. Informal ministerial intervention can dilute board accountability.

Ratna status grants greater autonomy to qualifying CPSE boards. Current Maharatna, Navratna and Miniratna criteria combine prior classification, multi-year performance, scale or net-worth tests; autonomy still requires review and transparent capital allocation.

Reform should classify each enterprise by strategic mandate and market structure, separate owner from regulator, appoint capable independent boards, publish public-service obligations, harden budget constraints and compare performance with relevant peers. Retention, merger, strategic sale, subsidiarisation or closure should follow evidence rather than blanket ideology.

Native-body word count: 225 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 5 - 20 MARKS

Question: Critically examine the New PSE Policy and disinvestment strategy. Answer in 250 words.

Model answer:

The New Public Sector Enterprise Policy, notified on 4 February 2021, seeks a bare minimum presence of public commercial enterprises in four strategic groups: atomic energy, space and defence; transport and telecommunications; power, petroleum, coal and other minerals; and banking, insurance and financial services. Other strategic enterprises may be privatised, merged, subsidised or closed, while non-strategic CPSEs are considered for privatisation or closure.

The policy can concentrate public capital on sovereign capability, reduce soft budget constraints and introduce private investment or management. Minority sales improve public float without surrendering control; strategic sales change incentives more deeply. Monetisation can retain public ownership.

Implementation is harder than classification. Valuation depends on cash flow, land, liabilities, employee obligations and control premium. Thin bidding or poor competition can transfer monopoly power cheaply. Pending announcements weaken investment and morale. Closure requires worker transition and creditor settlement.

Budget discipline also needs precision. Receipt Budget 2026-27 places Rs 80,000 crore under combined miscellaneous capital receipts; the 2025-26 Revised Estimate is Rs 33,837 crore. These are not pure disinvestment targets and should not be compared mechanically with DIPAM's enterprise-sale receipts.

The policy needs transparent rationale, competitive bidding, valuation, post-sale competition oversight, worker safeguards and outcome audits. One-off receipts cannot replace recurring reform.

Native-body word count: 221 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 6 - 20 MARKS

Question: Design a modern industrial-policy framework for India after 1991. Answer in 250 words.

Model answer:

A modern framework should preserve entry freedom and competition while addressing capability, resilience and transition failures. Support must begin with a diagnosed problem: infrastructure, learning spillovers, technology risk, strategic dependence or supplier coordination.

Horizontal foundations include power, logistics, land governance, skills, standards, finance, contract enforcement and competitive markets. Targeted support may use research, procurement, credit, time-bound incentives or common infrastructure, but should specify additional investment, capability, productivity or export outcomes.

Competition policy must prevent subsidy-backed concentration. CCI and sector regulators should review market access, combinations and abuse. Public enterprises need explicit mandates, independent boards and hard budget constraints; others should be restructured, sold or closed transparently.

Worker reskilling, portable protection, supplier upgrading and lagging-region infrastructure can spread gains. FDI should be evaluated by production, domestic value addition, technology absorption and supplier linkage, not approvals alone.

Every intervention needs review or sunset, published selection, fiscal-cost accounting and independent evaluation. Make in India, Atmanirbhar Bharat and PLI fit this approach, but detail remains Topic 17.

Periodic evaluation should test additionality, market concentration, domestic learning, regional distribution, worker outcomes and environmental performance across supported sectors.

The objective is strategic competitiveness: open markets supported by capable institutions, not insulation or a return to licence allocation.

Native-body word count: 216 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.